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Chapter 4: Long-Term Financial Planning and Growth

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Learning Objectives

What are we about to learn during this chapter

- Long term financial planning
- Percentage of sales method
- Calculate External Financing Needs (EFN)
- Impact of capital structure and dividend policy to growth power

Elements of Financial Planning

A financial plan is a statement of what is to be done in the future

- Investment in new assets – determined by capital budgeting decisions
- Degree of financial leverage – determined by capital structure decisions
- Payment to shareholders – determined by dividend policy decisions
- Liquidity and working capital required – determined by working capital decision

The process of financial planning

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Planning horizon

divide decisions into **short-run** decisions (usually next 12 months) and **long-run** decisions (usually 2 – 5 years)

Aggregation

combine capital budgeting decisions into one **large project**

Assumption & Scenarios

- Estimate **set of assumptions** for important variables
- Run **scenarios** by alter the assumptions reasonably
- Prepare **range** of possible output: the worst case (conservative), normal case (moderate), and best case (progressive)

The role of financial planning

- Examining interaction– assist the management to observe the interactions between financial management decision (e.g: investment decisions would bring consequences on financing decision questions, how the firm finance those investment decisions, through external or internal financing)
- Exploring options– provide a systematic framework for the management to explore some opportunities (e.g: before conducting financial planning, the management usually prepare several investment alternatives)
- Avoid surprises– provide a help for the management to identify possible outcomes and create the contingency plan accordingly (e.g.: through the case scenarios, the management would anticipate if one or more possible shocks by exogenous variables)
- Ensuring feasibility and internal consistency– give the management the framework to determine whether goal(s) could be achieved and measure the alignment between goals (e.g.: the sales growth target should be align with the reinvestment target)

The financial planning building blocks

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Sales or revenue (oftenly expressed in growth) commonly the driver of cash flows

Forecasted financial statements as the form of summarization of future event projected

Any change in sales would be reflected in the IS dan subsequently affect the BS through retained earning

Relation between IS and BS

Sales Forecast

Pro forma statement

Projected capital spending, growth of sales is commonly earned through the growth of fixed capital

Asset requirement

Financial requirement

The plug variable

The type of financing plugged to make the balance sheet balance (e.g.: debt, equity, dividend)

Necessary financing that required for the capital spending projected

Economic assumption

The external economic environment that influence the company (e.g.: interest rate, tax, inflation, GDP

Percentage of Sales Approach

A financial planning method in which accounts are varied depending on a firms predicted sales level.

Income Statement	Balance Sheet
• Costs may vary directly with sales - if this is the case, then the profit margin is constant • Depreciation and interest expense may not vary directly with sales – if this is the case, then the profit margin is not constant • Dividends are a management decision and generally do not vary directly with sales – this influences additions to retained earnings	• Initially assume all assets, including fixed, vary directly with sales (**capital intensity ratio**) • Accounts payable will also normally vary directly with sales • Notes payable, long-term debt and equity generally do not vary directly with sales because they depend on management decisions about capital structure • The change in the retained earnings portion of equity will come from the dividend decision (**dividend payout ratio vs retention ratio**)

External Financing Needed (EFN)

Spontaneous Increase in Assets

Spontaneous Increase in Liabilities

Spontaneous Increase in Retained Earning

$$EFN = \left(\frac{A^*}{S} \times \Delta S\right) + \left(\frac{L^*}{S} \times \Delta S\right) + \left(PM \times S_1(1 - D)\right)$$

A* = Current year assets
L* = Current year current liabilities
S = Current year sales
S1 = Projected sales
ΔS = Change in sales
PM = Profit margin
D = Dividend payout ratio

Internal Growth Rate (IGR) and Sustainable Growth Rate (SGR)

$$IGR = \frac{ROA \times b}{1 - (ROA \times b)}$$

Internal Growth Rate (IGR) is the **maximum** growth rate a firm can achieve **without external financing of any kind**

$$SGR = \frac{ROE \times b}{1 - (ROE \times b)}$$

Sustainable Growth Rate (IGR) is the **maximum** growth rate a firm can achieve **without external equity financing while maintaining constant debt to equity ratio**

ROA = Return on Assets (net income divided by total assets)
b = retention ratio (1 subtracted by the dividend payout ratio)
ROE = Return on Equity (net income divided by total shareholders'equity)

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Thank You

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